



Depreciation

When a company buys an asset, its cost can be deducted from income for accounting and tax purposes. Depreciation allows the company to spread the cost, by calculating the asset's decline in value over time.

How it works

If a business buys a long-lived asset, such as a building, factory equipment, or computer, to help it earn income, this expenditure can be offset as a cost against income earned. However, not all this income will be generated in the year of purchase and, over time, the asset will age and become less beneficial to the business, until it becomes outdated or unusable.

Accountants do two things to turn the declining value into a tax advantage. Firstly, they work out how much the asset's value decreases over a period of time—

typically a year. Secondly, they match that loss in value to the amount of income earned in that period, so depreciation becomes a deduction from taxable income.

There are several different ways to calculate depreciation. The method a company uses may depend on the kind of business, the type of asset, tax rules, or personal preference. In the United States, per IRS guidelines, companies must use MACRS (Modified Accelerated Cost Recovery System), a combination of straight-line and double declining balance methods (*see below and p.126*).

NEED TO KNOW

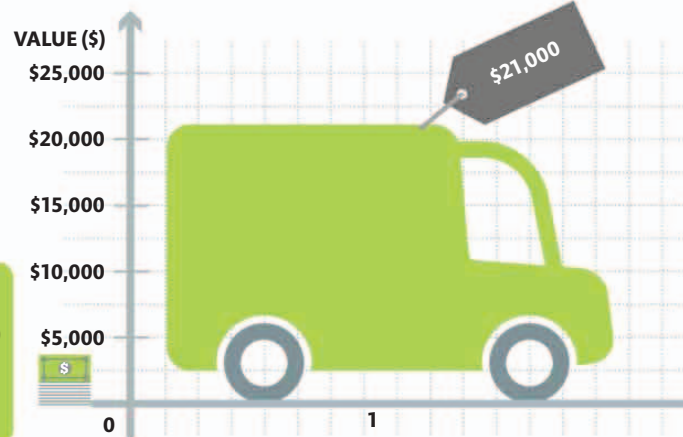
- › **Fixed/tangible assets** Items that enable a business to operate but are not a part of trade; assets lasting a year or more qualify for depreciation
- › **Useful/economic life** Length of time an asset is fit for its purpose and has monetary value
- › **Salvage/scrap/residual value** Worth of an asset once it has outlived its useful life—often set by the tax authority
- › **Book value** An asset's worth on paper at any point between its initial purchase and salvage

Calculating depreciation

The straight-line method is the simplest way of working out depreciation and can be applied to most assets. Depreciation is calculated along a timeline, with value loss spread evenly over the asset's economic life. Scrap value is deducted from purchase value and the remainder is split into equal portions over time.



$$\frac{\text{PURCHASE VALUE} - \text{SCRAP VALUE}}{\text{USEFUL ECONOMIC LIFE (YEARS)}} = \text{ANNUAL DEPRECIATION (\$)}$$



Example

A landscaping business buys a new van for \$25,000. The IRS sets its scrap value at \$5,000 after five years of use.



$$\frac{\$25,000 - \$5,000}{5} = \$4,000$$

Year 1 After a year, the van's value has depreciated by \$4,000 (its purchase value minus its scrap value, divided by its useful economic life). Its value is now \$21,000.